ABC News markets blog (AEMO data)
Digest of 25 October 2026

Renewables supply 44% of power demand, as Snowy 2.0's cost blows out

> AEMO's latest figures show renewables supplying a growing share of electricity, and batteries setting prices far more often. At the same time, WA power prices hit a record and Snowy 2.0's estimated cost has risen again.

WHAT HAPPENED

- Renewables supplied **44.3% of demand**, up from 41.8%, while underlying electricity demand rose 1.3%.
- Batteries set the price in **almost half** of dispatch intervals, up from 18% a year earlier.
- Western Australian wholesale prices averaged a record **A$117/MWh**, up 30%.
- Snowy 2.0, the pumped-hydro project, could now cost up to **A$25b**, about 12 times its original A$2b budget.

BY THE NUMBERS

44.3%
renewables' share of demand (up from 41.8%)

~50%
dispatch intervals where batteries set the price (18% a year ago)

A$117
per MWh average WA wholesale price, a record

A$25b
possible Snowy 2.0 cost (original budget A$2b)

KEY TERMS

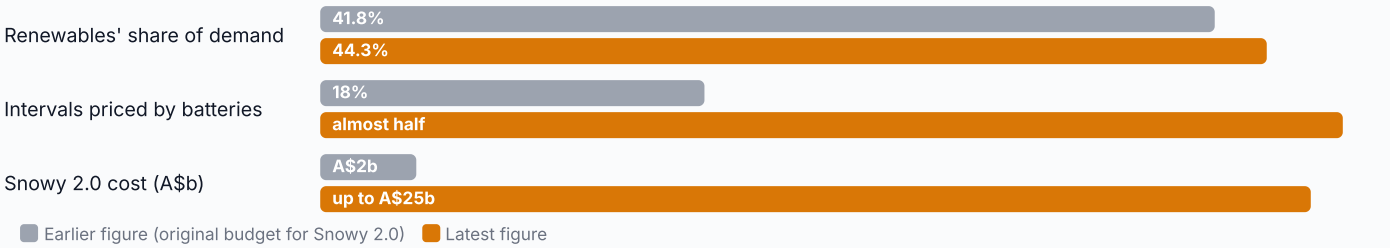
Negative externality: a cost to third parties, such as emissions, not reflected in the market price.

Energy transition: the shift from fossil fuels to renewable energy and storage.

Opportunity cost: what else the money spent on a project could have funded.

BAR CHART

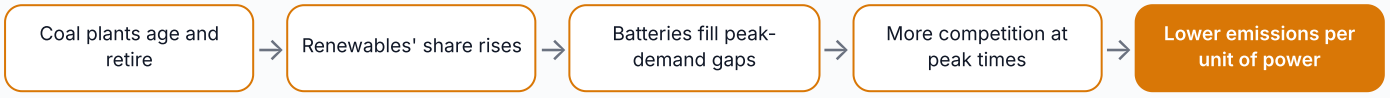
Before and after: the grid is changing fast



Exam angle: renewables and storage help correct a **negative externality** (emissions). But large public projects carry **cost-overrun risk** and an opportunity cost, so efficiency matters as well as sustainability.

FLOW CHART

How the grid is changing



COMPARE

Weighing up the energy transition

Costs and risks

- Cost blow-outs on **Snowy 2.0** (12× budget)
- Record **WA wholesale prices** hurt firms and households
- Money spent here can't fund other projects

Benefits

- Lower **emissions** as the renewables share rises
- **Batteries** add competition at peak times
- Storage firms up supply when the wind and sun drop off

SYLLABUS LINK

TOPIC 3: environmental sustainability and energy economics. It links to **TOPIC 4** (environmental management policy and public investment).

TRY THIS

Assess the economic costs and benefits of government investment in large renewable energy projects such as Snowy 2.0. **(6 MARKS)**

Articles: ABC News, 'ASX edges up at close...' markets blog, 23 Oct 2026 — https://www.abc.net.au/news/2026-10-23/asx-markets-business-news-live-updates-oct-23/107291840

Figures as reported at time of writing. Diagrams are illustrative, not to scale.